

INVESTMENT MEMORANDUM — STRICTLY CONFIDENTIAL

To: Real Estate Investment Committee From: European Real Estate Team — Marco Bianchi (Partner), Lisa Vandenberg (Member of Management), David Chen (Senior Vice President) Date: 11 September 2025 Subject: Project Foundry — Proposed acquisition of the Urbis Logistics Portfolio

RECOMMENDATION

We seek IC approval for an investment of up to EUR 340 million of equity in the acquisition of the Urbis Logistics Portfolio ("Urbis" or "the Portfolio"), a portfolio of 11 last-mile logistics properties located in major European urban areas. The transaction values the Portfolio at EUR 612 million, representing a going-in net initial yield of 5.4% and a price per square metre of EUR 1,820.

PORTFOLIO OVERVIEW

The Portfolio comprises 11 last-mile logistics assets totalling 337,000 square metres of lettable area. Geographic distribution is: Greater London (3 assets, 89,000 sqm), Greater Paris (3 assets, 72,000 sqm), Greater Amsterdam (2 assets, 64,000 sqm), Greater Madrid (2 assets, 71,000 sqm), and Greater Milan (1 asset, 41,000 sqm).

All 11 assets are within 15 kilometres of city centres and serve last-mile delivery operations for major e-commerce platforms (Amazon, Zalando), grocery delivery operators (Ocado, Carrefour), and parcel logistics players (DPD, GLS, Hermes). The Portfolio is 96% occupied, with weighted average unexpired lease terms of 6.8 years.

The Portfolio generates contracted annual rental income of EUR 33.1 million. Embedded rental reversion is estimated at approximately 18% across the portfolio, with the strongest reversion potential in the London and Amsterdam assets where market rents have grown most rapidly over the past three years.

INVESTMENT THESIS

Urban last-mile logistics is one of the most structurally supported segments of European commercial real estate. Three drivers underpin our thesis.

First, demand for urban last-mile space continues to grow significantly faster than supply. E-commerce penetration in Europe is forecast to grow from 17% of retail sales today to 25% by 2030. Same-day and next-day delivery expectations are driving operators to push delivery hubs ever closer to consumers, which in turn drives demand for genuinely urban (rather than peripheral) logistics locations.

Second, the supply response in urban areas is structurally constrained. Planning consent for new logistics development within 15 kilometres of major European city centres has tightened materially over the past five years, reflecting both broader urban planning priorities (housing, mixed-use development) and specific local political resistance to logistics traffic. New supply is running at less than 30% of net absorption in our target submarkets.

Third, rental growth in last-mile has consistently outperformed broader logistics rents. Prime urban last-mile rents have grown at approximately 8% annually over the past five years in our target markets, compared with 5% for prime out-of-town logistics and 2% for European office rents.

Within the Portfolio specifically, we see meaningful additional value creation through (a) capturing the embedded 18% reversion as leases expire, (b) modernising three of the older assets (in London Park Royal, Madrid San Fernando, and Amsterdam Schiphol) to enable higher-value automated logistics operations and to support higher rents, and (c) potential redevelopment optionality on two of the older assets where the underlying land value could support residential or mixed-use redevelopment in the medium term.

ASSET-LEVEL DETAIL

Greater London. Three assets in Park Royal (NW London), Croydon (S London), and Enfield (N London). Combined 89,000 sqm. Tenants include Amazon Logistics (Park Royal), DPD (Croydon), and Ocado (Enfield). All three assets are well-located but the Park Royal asset is the oldest in the Portfolio (constructed 1998, last refurbished 2008) and would benefit from substantial modernisation. The Enfield asset is purpose-built for Ocado and has a 12-year remaining lease term.

Greater Paris. Three assets in Aubervilliers, Rungis, and Gennevilliers. Combined 72,000 sqm. Tenants include Carrefour Express (Aubervilliers), Geodis (Rungis), and Amazon (Gennevilliers). The Rungis asset is exceptionally well-located adjacent to the Marché International de Rungis and has substantial reversionary potential.

Greater Amsterdam. Two assets at Schiphol Trade Park and Amsterdam Zuidoost. Combined 64,000 sqm. The Schiphol asset (38,000 sqm) is the largest single asset in the Portfolio and is leased to a consortium of three logistics operators. The Zuidoost asset is leased to Zalando under a long-term contract.

Greater Madrid. Two assets at San Fernando and Coslada. Combined 71,000 sqm. The San Fernando asset is the second-oldest in the Portfolio and is a strong modernisation candidate. The Coslada asset is purpose-built and 100% leased to Amazon Logistics.

Greater Milan. Single asset at Pioltello. 41,000 sqm. Modern construction (2019) leased to a Carrefour Express last-mile operation.

CAPITAL EXPENDITURE PLAN

We have budgeted EUR 38 million of value-add capital expenditure across the hold period. The principal investments are EUR 14 million in modernising the Park Royal asset (enabling a rent uplift from the current EUR 8 per square foot to an estimated EUR 14 per square foot at next renewal), EUR 8 million in the San Fernando asset, EUR 6 million in the Schiphol asset, and the remainder spread across smaller modernisation works across the Portfolio.

VALUATION AND RETURNS

We are acquiring at a going-in net initial yield of 5.4%, which is appropriate for the asset quality, location profile, and tenant covenant strength of the Portfolio. Comparable transactions over the past 18 months have priced between 4.8% (highest-quality London assets) and 5.9% (more peripheral or older assets).

Our base case underwrites a five-year hold with the following return drivers. Rental growth of approximately 6% annually (a moderation from the recent 8% pace), capture of embedded reversion as approximately 40% of leases roll during the hold period, value-add capex returning a yield-on-cost of approximately 8.5%, and exit at a 5.0% yield reflecting modest yield compression supported by continued strong investor demand for the asset class.

The base case generates an unlevered gross IRR of 11.2% and an MOIC of 1.6x. Levered at 55% loan-to-value, the equity gross IRR is 16.8% and the MOIC is 2.1x.

The upside case (faster rental growth, more aggressive yield at exit) generates levered equity returns of 21% IRR / 2.5x MOIC. The downside case (no reversion capture, flat exit yield) generates 10% IRR / 1.5x MOIC.

KEY RISKS

Tenant covenant risk. The Portfolio is well-diversified across tenants but has meaningful exposure to specific large e-commerce and last-mile operators. We have reviewed the credit profile of each major tenant; Amazon and Ocado are strong covenants, the smaller last-mile operators less so. Tenant default in a major asset would create vacancy risk that the model can absorb but that would impact returns.

Interest rate environment. The Portfolio's leverage strategy is sensitive to interest rate movements over the hold period. We have stress-tested for sustained higher rates and the equity returns remain acceptable, although the upside case is reduced.

Yield compression assumption. We assume modest yield compression in our base case (5.4% to 5.0%). If yields widen rather than compress, returns are meaningfully impacted. We view this as the principal sensitivity in the underwriting.

Asset management execution. The Portfolio requires more active asset management than a typical core logistics portfolio. We have built dedicated capability for this, including a recently-hired Head of Logistics Asset Management with previous experience at Prologis.

FINANCING

Senior debt of EUR 337 million (55% LTV) has been pre-arranged with Allianz Real Estate at a fixed rate of 5.1% for a five-year term. The debt is non-amortising with a single bullet maturity.

CONCLUSION

The Urbis Portfolio is a high-quality urban last-mile logistics platform with meaningful value-add potential. The pricing is appropriate for the asset quality and reflects normalisation from the peak pricing of 2021-2022. The returns are attractive on a risk-adjusted basis and the asset class continues to enjoy strong structural support.

We recommend approval.